will have a higher likelihood of success going forward. And this activity will be a real help to their clients in terms of making them feel comfortable with their portfolio and confident that they will reach their financial goals. The wealth report will be referenced again in the next section, and there will be more to come on this subject.

PRACTICAL APPLICATION OF BEHAVIORAL FINANCE

This book intends not only to familiarize financial advisors and investors with 20 of the major biases unearthed in behavioral finance research, as was done in the last 20 chapters, but also to demonstrate how to apply behavioral finance in the process of developing and implementing an asset allocation plan. The central question for advisors when applying behavioral finance biases to the asset allocation decision is: When should advisors attempt to *moderate*, or counteract, biased client reasoning to accommodate a predetermined asset allocation? Conversely, when should advisors *adapt* asset allocation recommendations to help biased clients feel more comfortable with their portfolios?[2] Furthermore, how extensively should the moderate-or-adapt objective factor into portfolio design? Later in the chapter we explore the use of quantitative parameters to indicate the magnitude of the adjustment an advisor might implement in light of a particular bias scenario.

The chapter, which reviews the practical consequences of investor bias in asset allocation decisions, might, with any luck, sow the seeds of a preliminary thought process for establishing an industry-standard methodology for detecting and responding to investor biases. This chapter, first, examines the limitations of typical risk tolerance questionnaires in asset allocation; next, it introduces the concept of best practical allocation, which in practice is an allocation that is behaviorally adjusted; then it identifies clients' behavioral biases and discusses how discovering a bias might shape an asset allocation decision; as noted, it also reviews a quantitative guideline methodology that can be utilized when adjusting asset allocations to account for biases.

Limitations of Risk Tolerance Questionnaires

Those who read the last edition of this book will be reminded that this section pointed out the limitations of risk tolerance questionnaires. It noted that in an attempt to standardize asset allocation processes, financial service firms ask and may, for compliance reasons, require their advisors to administer risk tolerance questionnaires to clients and potential clients prior to drafting any asset allocation. In the absence of any other diagnostic analysis, this methodology is certainly useful and generates important information. However, there are a number of factors that restrict the usefulness of risk